

Optimism Bias: Why We Think the Future Will Always Favour Us

Sidebar: What is Optimism Bias?

Optimism bias is the cognitive tendency to believe we're more likely to experience positive outcomes and less likely to face negative ones. Even when the odds say otherwise, we imagine ourselves dodging failure and gliding ahead, toward success.

You've likely heard someone say things like (or said yourself):

"I'll surely get into my dream college."

"We won't break up, our relationship is different."

"I'll never get into a serious accident. I'm a safe driver."

These aren't just casual confidence boosts, they're *misjudgments* that we base our decision making upon. Despite knowing that almost half of all marriages end in divorce or that many startups fail, people tend to believe they'll beat the odds. In fact, they often feel uniquely exempt from these negative outcomes. This optimism bias is one of the most persistent cognitive errors, seen across age groups and cultures.

Psychology Behind the Deluded Happiness

Our ability to anticipate what might happen next plays a vital role in how we make decisions by helping us avoid risks and seek rewards. Given how important it is to be accurate in our predictions, you'd think our beliefs would be rational and unbiased. But unexpectedly, that's not the case. We seem to see our future experiences through a lens that conflates desired outcomes with probable outcomes.

Psychologists and neuroscientists suggest that this bias helps reduce anxiety, boosts motivation, and keeps us moving forward – our brains aren't wired to forecast the future with perfect accuracy, they're wired to stay hopeful and to keep us going. Studies have shown that this bias is not only widespread but also surprisingly resistant to facts. Even when presented with real statistics about divorce or disease, people often revise others' risk and not their own. From an evolutionary perspective, a bit of this delusional confidence and blissful ignorance might have helped humans persist through inevitable adversities.

Neuroscience backs this up. Studies show that when people imagine positive future events, brain areas associated with reward and motivation light up. When they hear bad news (like learning their personal risk is higher than expected), they're less likely to update their beliefs.

How does it affect us?

There is a trade-off. This “glass half full” way of thinking can also lead to poor planning, ignoring warning signs, or failing to take precautionary measures. It sneakily shapes the high-stakes decisions we make, such as in:

- ❖ **Healthcare:** People underestimate personal risk for conditions like cancer or heart disease, leading to delays in testing or prevention.
- ❖ **Finance:** One may overestimate future income and underestimate the need for savings or insurance.
- ❖ **Climate Change:** While acknowledging the global threat, individuals often downplay its direct impact on their lives or communities.
- ❖ **Public Safety:** Skipping helmets, ignoring seatbelts, or texting while walking.

These aren't just individual choices but have large-scale consequences. For example, optimism bias can make policymaking harder, especially when public cooperation depends on perceived personal risk (as seen during the COVID-19 pandemic).

Policy Impact - Start-Up India:

Start-up India is an initiative of the Indian government that aims to build a supportive and innovative ecosystem for new enterprises to come up. Under this initiative, there are special provisions made for these startups to reduce regulatory burden and to acquire capital more efficiently. This initiative only thrives through the optimism bias that these new entrepreneurs carry. The statistics are pretty demotivating when it comes to the success rates of these startups. However, individuals believe that their business will be the one that succeeds. This is beneficial as one successful business is able to generate enough employment and pave the way for future development which outweighs the large-scale risks involved.

Designing for the Optimism Bias:

Because optimism bias resists rational correction, behavioural approaches can help balance hope with caution:

- ❖ **Personalisation:** People are more receptive to risk information when it's tailored to their own context.
- ❖ **Illustrations:** Showing people what “1 in 4” looks like with visual icons makes statistics feel more tangible and urgent.
- ❖ **Salient reminders:** Automatic reminders for check-ups, insurance renewals, or deadlines can cut through the “it won't happen to me” perspective.

- ❖ **Default enrollments:** Automatically enrolling individuals in health insurance, pension plans, or safety programs ensures protection even when overconfidence leads them to delay or avoid proactive decisions.

References

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Voluntariness Principle: The Power of Choice

Sidebar: What is the voluntariness principle?

This principle suggests that individuals are more convinced and satisfied with their decisions when they freely choose them as opposed to being coerced into them. This highlights the important role of autonomy in holding our concept of the self together.¹ Even in scenarios where our decisions lead to hardship, failure or regret, we are more likely to be accepting of these outcomes and take responsibility for them if we chose them using our own volition.

Have you noticed that you are much more determined to see a plan through if it was your idea? Or that you often feel resistant towards strict rules but accepting towards polite suggestions? The answer lies in who is making the choice.

From early childhood, we show a strong need for autonomy. This is why, even as toddlers, we insist on doing things by ourselves regardless of how inefficient or slow it may be. As we grow up, this tendency evolves into a need for agency - to feel we're in control of our actions and decisions.

What the Brain Says About Being in Control

The likelihood of one meaningfully engaging with a task is directly dependent on how freely they decided to take up the task. Taking away this autonomy by force or manipulation will lead to people rebelling or disengaging from the task even if it is beneficial for them. Psychologists refer to this as self-determination and it is central for motivation and to sustain our mental health. When our access to self-determination is threatened, we go through psychological reactance - the mental pushback we feel when someone tells us what to do, even if we were already planning to do the same thing. This explains why people resist diets, skip assigned readings, or resent advice, even when they know it's good for them. We don't just want the right decision, we want it to be ours.

Some Caveats

- ❖ Interestingly, even the *illusion* of choice can generate similar effects. Studies show that people who believe they've selected an option (even if it was randomly assigned) show higher satisfaction and commitment. This shows how powerful and sometimes fragile our relationship with autonomy really is.
- ❖ Though choices make us feel great, too many choices can backfire. The famous "jam study" conducted by Iyengar & Lepper in 2000 found that people were ten times more likely to buy jam when offered 6 flavors compared to 24.

¹ Read more about autonomy and self identity [here](#).

- ❖ There are cultural differences in the extent to which we depend on independent decision making. In collectivist cultures such as the ones in Asia and Africa, one might prioritize well-being of the community over individual autonomy more as compared to Western countries where individualism is more prevalent.

Policy Impact: Covid-19 Vaccinations

During the pandemic, most governments chose not to mandate vaccination but rather nudge citizens into opting in by their own volition. Public health campaigns were designed to emphasize autonomous decision making by using messages such as “it’s your shot at protecting your loved ones” and by making vaccinations free and accessible to all people.

As a result of these strategies, even in areas where government trust was already weak among citizens, large numbers of people accepted the vaccine. People who might have resisted a strict mandate were more likely to participate when they felt respected and free.

This shows that even during times of adversity, when people feel a sense of ownership over their actions, they are more likely to comply, commit, and convince others to do the same. The key was not just *what* people were asked to do, but *how* they were asked. Tactics like this are often employed in marketing campaigns too where customers are presented with products and their perks without being directly pursued to buy it.

The voluntariness principle doesn’t mean people should always do whatever they want. Rather, it means that systems work better when people feel like they have a say in decision making. In a world where control often feels out of reach, giving people agency or even just acknowledging it can be a surprisingly powerful way to drive lasting, meaningful change.